

Home Comfort - Two-Page Operating Benchmark

Reliance Home Comfort and Enercare | Source report dated July 18, 2026

SUBVERTICAL THESIS

Home Comfort is one installed-residential archetype: provider-owned or supported water heaters and HVAC equipment, plus protection plans and one-time service. A dense installed base converts essential household needs into recurring monthly billing. Pricing, premium-equipment mix, and cross-sell drive growth; low-touch water heaters support high margins. Equipment exchanges, removal, and reinstallation still consume sustaining capital. Enercare anchors the benchmark with cleaner segment disclosure; Reliance widens the range through its broader, less separable mix.

METRIC	BENCHMARK RANGE	WHY THE ASSERTION MAKES SENSE	STRONGEST SUPPORT / CAVEAT
Revenue growth	Core low / central / high: 3% / 5% / 7%; broader observed range: 3%-8%.	Mature installed bases grow mainly through price, HVAC and premium-unit mix, cross-sell, modest net units, and occasional M&A; acquisitions are not organic growth.	Enercare revenue rose 6% in 9M 2018 while units rose only 0.6% and monthly rent increased from C\$24.35 to C\$25.50. Reliance customer growth was low-single-digit annually before U.S. tuck-ins. Confidence: Medium - strong Enercare history, limited current standalone bridges.
EBITDA margin	Core low / central / high: 48% / 53% / 56%; broader observed range: 43%-56%.	Monthly revenue on installed, low-touch water heaters creates high recurring gross margin; technicians, dispatch, support, and transactional services dilute it.	Enercare disclosed C\$201.4 million EBITDA on C\$359.8 million 9M 2018 revenue, about 56%, with contracted revenue near 92%. Reliance has no standalone margin and a broader mix. Confidence: Medium - Enercare is disclosed; Reliance's range is low-confidence and triangulated.
Maintenance capex / revenue	Core low / central / high: 10% / 12% / 14%; broader observed range: 9%-15%.	Providers replace owned end-of-life units, including removal and reinstallation, to preserve billable addresses. Water heaters and plans lower intensity; HVAC raises it.	Enercare exchanged 33.6 thousand assets in 9M 2018, 2.9% of opening units, and found used heaters uneconomic to redeploy. Reliance cites 14-16-year lives and included replacement. Confidence: Medium - replacement-cycle derived; Reliance-specific capex is low-confidence.
Post-maintenance capex conversion	Core low / central / high: 73% / 78% / 82%; broader observed range: 68%-84%.	Recurring billing creates strong EBITDA, but exchanges prevent software-like conversion. This measure excludes interest, taxes, working capital, lease principal, and growth capex.	The 78% center follows 53% EBITDA margin and 12% maintenance capex. Enercare additions, attrition, and exchanges show that some new installation spend merely preserves revenue. Confidence: Medium - direct arithmetic, derived capex; Reliance is low-confidence.
Initial contract tenor	Low: at-will or legacy cohorts; central: 7-10 years; high: useful-life or roughly 15-year-style economics. Broader range spans mixed legacy at-will to useful-life forms.	Newer rentals use minimum-term, buyout, or useful-life structures to recover capital; legacy Ontario water-heater cohorts can be cancellable or non-term.	Reliance cites 7-10-year minimums, 10 years then monthly, and separate non-term and 84-month forms. Enercare historically split heaters between non-buyout and buyout contracts. Confidence: Medium - forms are observable; current cohort mix is not.
Effective customer tenure	Core low / central / high: 12 / 18 / 25 years; broader observed range: 10-25 years.	Address-level continuity, residential inertia, home-sale transfer, and convenient replacement can carry revenue beyond both legal term and the first asset.	Enercare rental attrition was 1.9% over 9M 2018; Reliance continues monthly after initial terms. Short-period attrition is not mechanically converted into customer life. Confidence: Medium - same-household tenure is inferred and differs from equipment life.
Utilization exposure	Low / central / high: Low / Low-Moderate / Moderate; broader range: Low to Moderate.	Asset utilization is largely binary: installed on a paying account or not. Household usage intensity does not normally change fixed rent. The more important exposure is seasonal technician, installer, and dispatch capacity.	Company reporting emphasizes units, contracts, attrition, exchanges, service response, and installed accounts rather than consumption or runtime. Confidence: High - contract mechanics and operating KPIs make the qualitative classification clear.
New-unit or customer payback	Core low / central / high: 6.5 / 8 / 10 years; broader observed range: 6-11 years.	Fully burdened payback includes equipment, installation, acquisition, service, repair, and replacement reserve. Basic heaters repay slower; HVAC and premium units repay faster.	Reliance showed C\$1,000-C\$5,500 installed cost and C\$20-C\$100+ monthly rent. Enercare said HVAC rentals earned three to five times traditional heater revenue. Confidence: Medium - triangulated; direct unit contribution is undisclosed.
B2B vs B2C	Low / central: Predominantly B2C; high: B2B contract with residential end users. Broader range: predominantly B2C to mixed edge cases.	Households are the economic center, although builders, property managers, and small commercial channels may originate or intermediate accounts.	Enercare disclosed that about 95% of its rental portfolio consisted of residential water heaters. Reliance's owner and consumer materials identify homeowners as the primary customer base. Confidence: High - product mix and customer positioning are explicit.

HOW TO READ THE UNIVERSE

Both companies monetize essential household infrastructure through installed assets and service. Rentals and protection plans are recurring; outright HVAC sales and one-time work are distinct. Retention reflects convenience and address continuity, but also historical switching friction, so customer life is not enforceable term. Returns depend on dense field service, recovery of installation cost, and continued billing or replacement after the first unit ages out.

Reliance Home Comfort

What it does. Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans. It solves urgent hot-water, heating, and cooling needs without upfront purchase or surprise repair risk. The benchmark isolates rentals and plans from one-time work.

Economic model. The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used hardware has limited redeployment value, so the address relationship is the key residual asset.

Evidence bridge. Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Terms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and C\$20-C\$100+ monthly rent. Current standalone financial, churn, and growth bridges are unavailable, making several company metrics low-confidence.

Enercare

What it does. Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems. Brookfield acquired it in 2018; the clean segment base is 2017 and 9M 2018.

Economic model. The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Equipment is replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.

Evidence bridge. In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable.

KEY DILIGENCE QUESTIONS

Separate recurring rentals and plans from one-time sales, service, and acquisition-led growth. | Obtain current product mix, gross additions, attrition, exchange volume, and direct service cost by cohort. | Test how much installation spending labeled as growth merely replaces churn and is economically sustaining. | Distinguish legal protection from residential inertia and historical switching friction. | Keep address-level customer tenure separate from the life of any individual heater or HVAC unit.